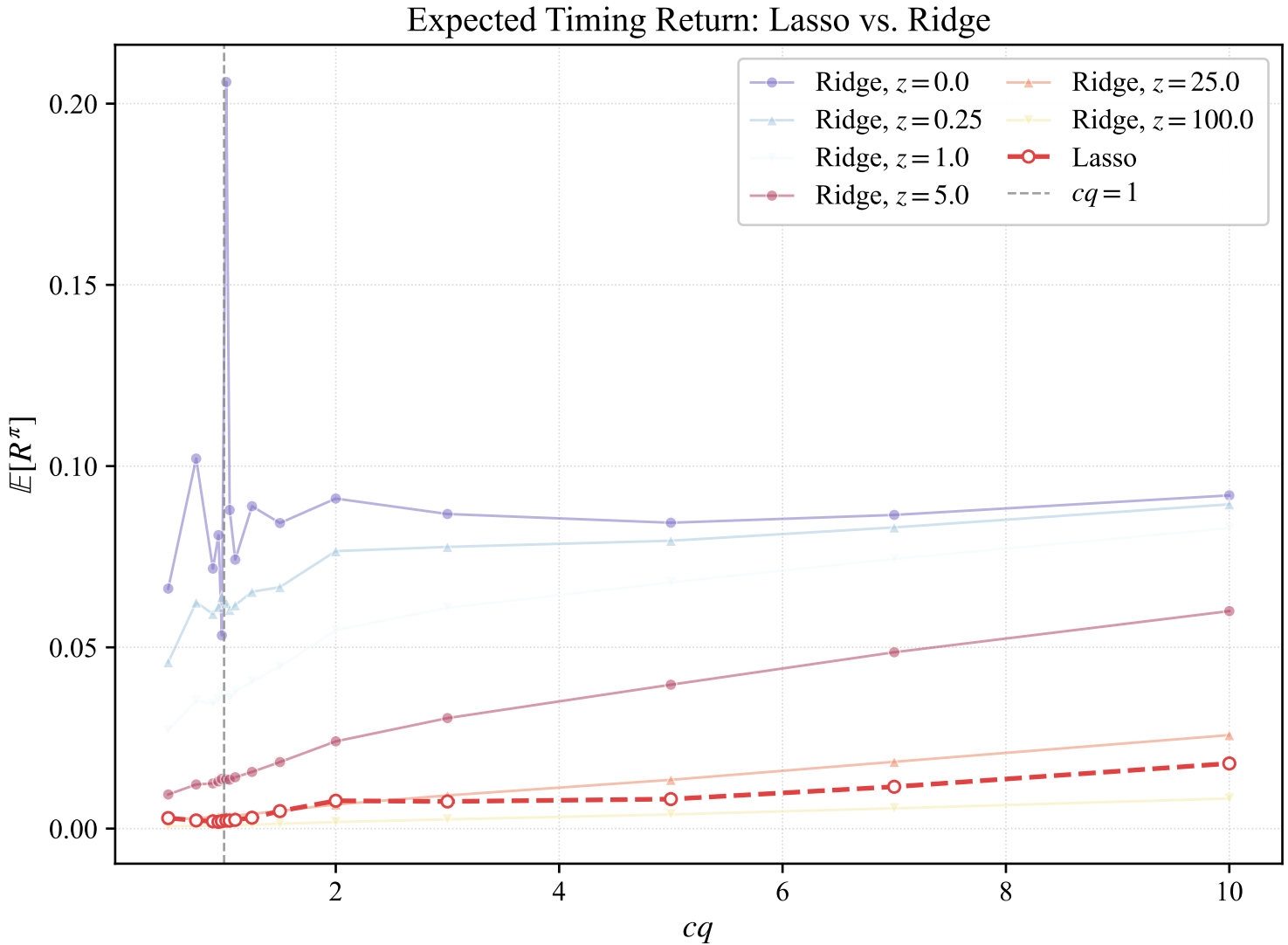
Expected Timing Return: Lasso vs. Ridge
Ridge, $z = 0.0$
Ridge, $z = 0.25$
Ridge, $z = 1.0$
Ridge, $z = 5.0$
Ridge, $z = 25.0$
Ridge, $z = 100.0$
Lasso
$cq = 1$
$\mathbb{E}[R^\pi]$
0.20
0.15
0.10
0.05
0.00
2
4
6
8
10
cq